

monthly statements and analyze them in more detail. “Fine,” they said, “do the analysis and report back to us.”

I brought boxes of the confirmations and statements back with me to California and went over the information carefully. We looked at the individual trade confirmations and determined that most of the trades could never have been made. We chose to focus on the option trades because the stock trades were too difficult to prove false. Half the option trades were for options that didn’t even trade on the transaction date. Zero volume. About a quarter of the rest couldn’t have traded at the prices quoted. For the remaining quarter, we couldn’t tell if the trades occurred. I took 10 of these trades to a high-placed brokerage friend and asked him if he could find out who the counterparties were on those trades. He checked and found out that Madoff’s organization didn’t appear as counterparty on any of the trades.

I told my institutional client, “He is printing fake trades. He is making it all up. What you should do is get out as soon as you can and as quietly as you can. This is a huge Ponzi scheme that will get bigger and bigger, and one day it is going to self-destruct.”

Did they get out?

They did.

Did you take it any further?

I thought of trying to expose it, but I had already had a belly full of government with Giuliani and Princeton Newport Partners. I also had previously found some small frauds and was told by a lawyer friend of mine who spent eight years working for the SEC that it would be a waste of time reporting it.

Why is that?

Because they didn’t care about stuff like that.

What are your thoughts on the efficient market hypothesis?

Based on our daily success in Princeton Newport Partners, the question wasn’t “Is the market efficient?” but rather the appropriate questions were “How inefficient is the market?” and “How can we exploit the inefficiencies?”